

Enterprise Salary Band Structure & Salary Components

FY 2026 Compensation Framework, Grade Distribution, and Pay Adjustment Guide

Section 1: Enterprise Compensation Governance & Principles

The corporate compensation framework ensures competitive, transparent, and equitable remuneration benchmarked annually against third-party market survey data (Radford and Mercer benchmarks) across every operational hub. Salary grade ranges are reviewed each January by the Executive Compensation Committee, and a formal pay-equity audit is conducted every 12 months to identify and remediate unexplained pay gaps by gender, ethnicity, and tenure cohort.

New hire offers are targeted between the 25th and 60th percentile of the relevant band based on the candidate's assessed experience and internal parity with existing team members in comparable roles. Offers above the 60th percentile require VP-level approval.

Section 2: Job Grade Salary Bands & Base Pay Range

The enterprise compensation framework is categorized across 7 job grades (L1 to L7), effective January 1, 2026:

Grade	Role Designation	Min Base Pay (\$)	Midpoint (\$)	Max Base Pay (\$)
L1	Junior Associate / Assistant	\$45,000	\$55,000	\$65,000
L2	Associate Specialist / Engineer	\$65,000	\$80,000	\$95,000
L3	Senior Specialist / Senior Eng	\$95,000	\$115,000	\$135,000
L4	Lead Engineer / Project Manager	\$135,000	\$160,000	\$185,000
L5	Senior Manager / Principal Eng	\$185,000	\$215,000	\$245,000
L6	Director / Vice President	\$245,000	\$295,000	\$345,000
L7	Executive C-Suite (CXO)	\$350,000	\$425,000	\$500,000+

Section 3: Salary Components & Percentage Formulas

Total Cost to Company (CTC) is allocated across fixed allowances and statutory components using the following formulas:

- **Basic Salary:** Calculated as exactly **50% of Total Annual CTC**.
- **House Rent Allowance (HRA):** **40% of Basic Salary** for Tier 1 Metro cities or **30% of Basic Salary** for Non-Metro locations.
- **Provident Fund (PF) Contribution:** Mandatory **12% of Basic Salary**, matched by the employer.
- **Special Allowance:** Residual balancing component, typically approximately 30% of CTC.
- **Overtime (Non-Exempt Only):** 1.5x the hourly base rate, where hourly rate = Annual Basic Salary / 2,080 working hours.

Section 4: Income Tax Deductions & Statutory Withholding Slabs

Payrolls are subject to statutory income tax withholding based on annual taxable income slabs: 0% up to \$15,000; 10% between \$15,001-\$45,000; 20% between \$45,001-\$90,000; 30% for earnings above \$90,000 USD. Employees may declare eligible investment and insurance deductions each April to reduce taxable income under the standard exemption schedule.

Section 5: Merit Increases & Promotion Adjustments

Annual merit increases are budgeted as a percentage pool of total payroll, distributed according to performance rating: 6-8% for Rating 5.0, 4-5% for Rating 4.0, 2-3% for Rating 3.0, and 0% for Ratings below 3.0. Promotion adjustments are calculated separately and typically bring base pay to at least the 25th percentile of the new grade's band, applied on the promotion effective date rather than the annual cycle.

Section 6: Relocation & Location-Based Pay Adjustment

Employees relocating between cost-of-living zones at company request receive a one-time relocation allowance (capped at \$8,000 USD domestic / \$15,000 USD international) and have their base salary re-benchmarked to the destination location's band within one payroll cycle.

Section 7: Payroll Disbursements & Direct Deposit Schedule

Salaries are credited via direct electronic bank transfer on the 25th day of each calendar month. If the 25th falls on a weekend or bank holiday, payments are executed on the preceding business day. Payslips are published to the self-service portal no later than 2 business days before disbursement.

Section 8: Allowance Schedule Beyond Basic & HRA

Allowance	Eligibility	Monthly Amount / Basis	Taxable?
Conveyance Allowance	All grades	\$150 flat	Partially exempt up to statutory limit
Meal Card Allowance	All grades	\$200 flat	Exempt up to statutory limit
Shift Allowance	Non-exempt, night shift	15% of Basic for shift days	Fully taxable
Car Lease / Fuel Allowance	Grade L4+	Up to \$600, per lease agreement	Partially taxable

Section 9: Deductions Beyond Statutory Tax

Beyond income tax and PF, monthly payroll deductions may include: Professional Tax (where applicable by jurisdiction, typically \$20-\$30/month), Labour Welfare Fund contribution (nominal, jurisdiction-dependent), the employee's share of health-plan premium for coverage tiers above the standard Tier 1 default, and any court-ordered wage garnishment processed strictly in the order and priority required by law.

Section 10: Off-Cycle Pay Corrections & Recovery of Overpayment

Payroll errors identified after disbursement are corrected in the next available off-cycle run, targeted within 5 business days of the error being confirmed. Where an employee has been overpaid, Payroll notifies the employee in writing before recovery begins and recovers the amount over a period no shorter than the number of pay cycles over which the overpayment accrued, unless the employee elects to repay it faster.

Section 11: Location-Based Cost-of-Living Zones

Zone	Representative Cities	Band Adjustment Factor
Zone A (Tier 1 Metro)	New York, San Francisco, London	1.00x (baseline band)
Zone B (Tier 2 Metro)	Austin, Manchester, Toronto	0.90x of baseline band
Zone C (Tier 3 / Remote-First)	Secondary cities, fully remote hires	0.80x of baseline band

An employee who relocates from a higher-factor zone to a lower-factor zone retains their current base salary (no reduction), but future merit increases are calculated against the destination zone's band until pay converges naturally with the new zone's range.

Section 12: Confidentiality of Compensation Information

Individual compensation details are confidential between the employee, their manager, HR, and Payroll. Employees are, however, permitted under company policy and applicable pay-transparency law to discuss their own compensation with colleagues if they choose; no employee may be disciplined or retaliated against for doing so. Managers and HR staff who improperly disclose another employee's compensation details outside authorized business need are subject to disciplinary action.